

Table 75.1 Identification Guidelines

Characteristic	Discussion
Point 1	Wolfe describes point 1 this way: “The 1 point is the top prior to point 2 (bottom), that 3 has surpassed.” Look for the top of the hill leading to point 2, providing the top of point 1 is below the price of top 3.
Point 2	This is any minor low on the chart, providing it follows point 1.
Point 3	This is the top of the hill begun by point 2. Point 3 must be higher than point 1.
Point 4	This is the bottom of the hill begun by point 3. Point 4 must be above the price of 2, otherwise lines 2–4 and 1–3 will not converge.
Point 5	This is the top of the hill begun by point 4. It need not turn on line 1–3.
Apex, ETA	Lines 1–3 and 2–4, extended into the future, must converge. If they do not, then you do not have a Wolfe wave. Where they join is called the ETA, or Estimate Time of Arrival. It's the date of the wedge's apex.
Other rules	There should not be another higher peak or lower valley between the various turning points 1 through 5.
EPA	Estimated Price at Arrival. Draw a line connecting turns 1 and 4. When price meets the line, exit the trade.